**UNITED STATES**
**SECURITIES AND EXCHANGE COMMISSION**
**Washington, D.C. 20549**

# FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the fiscal year ended June 30, 2026
Commission File Number: 001-37845

## Microsoft Corporation

(Exact name of registrant as specified in its charter)
Washington — State of incorporation
Redmond, Washington — Principal executive offices

| Title of each class | Trading symbol | Name of each exchange on which registered |
|---|---|---|
| Common Stock | MSFT | The Nasdaq Global Select Market |

The aggregate market value of the voting stock held by non-affiliates of the registrant, as of the last business day of the registrant's most recently completed second fiscal quarter, was approximately $2,452 billion.

7,090,015 thousand shares of common stock were outstanding as of August 14, 2026.

Indicate by check mark whether the registrant is a large accelerated filer: Yes ■. Indicate by check mark whether the registrant is a shell company: No ■.
This document is an extract prepared for the registrant's investor portal and omits exhibits and certain items. Filed August 24, 2026.

# Table of Contents

1. Part I — Item 1. Business
2. Item 1A. Risk Factors
3. Part II — Item 5. Market for Registrant's Common Equity
4. Item 7. Management's Discussion and Analysis
5. Item 8. Financial Statements and Supplementary Data
6. Notes to Consolidated Financial Statements
7. Item 9A. Controls and Procedures
8. Signatures

## Forward-looking statements

This Annual Report contains forward-looking statements that involve risks and uncertainties. Actual results may differ materially from those anticipated. See Item 1A.

# Item 1. Business

Microsoft enables digital transformation for the era of an intelligent cloud and an intelligent edge. Its mission is to empower every person and every organization on the planet to achieve more. The Company's fiscal year ends June 30.

## Segments

**Productivity and Business Processes.** Microsoft 365 commercial seat growth and copilot attach are the main drivers of this segment's results.

**Intelligent Cloud.** Azure and other cloud services growth, including the ai services contribution are the main drivers of this segment's results.

**More Personal Computing.** Windows oem and devices against a soft pc market, offset by search and news advertising are the main drivers of this segment's results.

## Competition

The Company's markets are highly competitive and characterised by rapid technological change, aggressive pricing and frequent new entrants. Principal competitive factors are product quality, price, innovation, distribution and brand.

## Seasonality and government regulation

The Company's results are moderately seasonal. The Company is subject to laws and regulations in the jurisdictions in which it operates, including those relating to competition, consumer protection, data privacy, trade, taxation, employment and the environment. Compliance costs are significant and changes in law could affect results.

## Human capital

At fiscal year end the Company had approximately 246,000 full-time equivalent employees. The Company's compensation programs include share-based awards for a broad group of employees.

## Available information

The Company's annual reports on Form 10-K, quarterly reports on Form 10-Q, current reports on Form 8-K and amendments are available free of charge on its investor relations website as soon as reasonably practicable after they are filed with the SEC.

## Item 1A. Risk Factors

The following discussion summarises the material factors that make an investment in the Company's securities speculative or risky. It is not exhaustive.

**Macroeconomic conditions.** Demand for the Company's products is sensitive to economic conditions.

**Competition.** The Company operates in highly competitive markets.

**Regulation.** Changes in law could increase costs or restrict operations.

## Item 5. Market for Registrant's Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities

The Company's common stock is traded on the Nasdaq Global Select Market under the symbol MSFT. As of July 20, 2026 there were approximately 10,000 shareholders of record.

The Company paid quarterly cash dividends of $0.80 per share during the year. Future dividends are subject to declaration by the Board of Directors.

### Issuer purchases of equity securities (fourth fiscal quarter)

| Period | Total shares purchased (thousands) | Average price paid per share | Approximate dollar value remaining under the program ($ millions) |
|---|---|---|---|
| April 2026 | 985 | $380.58 | 59,625 |
| May 2026 | 922 | $406.79 | 59,250 |
| June 2026 | 904 | $415.04 | 58,875 |

# Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

## Overview

Revenue for fiscal 2026 increased 12.8% to $239.8 billion from $212.5 billion in the prior-year period. Operating income was $100.8 billion (42.1% of revenue) compared with $90.5 billion (42.6%). Net income was $83.1 billion, or $11.71 per diluted share, compared with $74.6 billion, or $10.50.

## Segment results

**Productivity and Business Processes** revenue was $86.0 billion, up 10.8% compared with $77.6 billion in the prior-year period, reflecting Microsoft 365 commercial seat growth and Copilot attach.

**Intelligent Cloud** revenue was $110.6 billion, up 19.2% compared with $92.8 billion in the prior-year period, reflecting Azure and other cloud services growth, including the AI services contribution.

**More Personal Computing** revenue was $43.2 billion, up 2.6% compared with $42.1 billion in the prior-year period, reflecting Windows OEM and devices against a soft PC market, offset by search and news advertising.

During the quarter the Company recorded a $0.7 billion restructuring charge related to the consolidation of hardware product lines. Separately, the Company announced that Thomas Keller will step down as Chief Financial Officer effective April 30, 2026 and that Grace Lindqvist will succeed him.

## Gross margin and operating expenses

Gross margin was 68.3% compared with 68.6%. Research and development expense was $30.0 billion and selling, general and administrative expense was $32.4 billion, together 26.0% of revenue (26.0% in the prior-year period). Results include restructuring charge of $0.7 billion.

## Liquidity and capital resources

Cash, cash equivalents and marketable securities were $88.2 billion and total debt was $46.0 billion at June 30, 2026. Cash generated by operating activities was $118.1 billion; capital expenditures were $62.3 billion. The Company paid dividends of $22.7 billion and repurchased $4.5 billion of its common stock during the period.

## Quarterly results of operations (unaudited)

| | Q1 FY2026 | Q2 FY2026 | Q3 FY2026 | Q4 FY2026 | Q1 FY2025 | Q2 FY2025 | Q3 FY2025 | Q4 FY2025 |
|---|---|---|---|---|---|---|---|---|
| Revenue | 54,731 | 59,722 | 60,751 | 64,584 | 47,975 | 52,642 | 54,142 | 57,755 |
| Gross margin % | 68.5% | 68.4% | 68.2% | 68.3% | 68.5% | 68.6% | 68.5% | 68.7% |
| Operating income | 23,241 | 25,319 | 24,945 | 27,343 | 20,409 | 22,423 | 23,026 | 24,648 |
| Net income | 19,147 | 20,859 | 20,554 | 22,527 | 16,814 | 18,473 | 18,970 | 20,306 |
| Diluted EPS | $2.70 | $2.94 | $2.90 | $3.18 | $2.37 | $2.60 | $2.67 | $2.86 |

## Critical accounting estimates

The Company's significant estimates include the valuation of inventory and long-lived assets, uncertain tax positions, legal contingencies and, where applicable, the standalone selling prices of performance obligations. Changes in these estimates could materially affect results.

## Five-year summary (unaudited)

| | FY2026 | FY2025 | FY2024 | FY2023 | FY2022 |
|---|---|---|---|---|---|
| Revenue | 239,786 | 212,514 | 188,554 | 166,997 | 148,781 |
| Net income | 83,088 | 74,563 | 65,934 | 58,511 | 52,242 |
| Diluted EPS | $11.71 | $10.50 | $9.27 | $8.21 | $7.32 |
| Cash generated by operating activities | 118,067 | 105,378 | 93,275 | 82,725 | 73,816 |
| Total debt (year end) | 46,000 | 46,000 | 46,000 | 46,000 | 46,000 |
| Total shareholders' equity (year end) | 296,630 | 240,000 | 201,762 | 175,342 | 162,443 |
| Cash dividends declared per share | $3.20 | $3.20 | $3.20 | $3.20 | $3.20 |

Fiscal years prior to the three years presented in Item 8 are derived from previously issued financial statements; per-share amounts reflect subsequent stock splits.

## Item 7A. Quantitative and Qualitative Disclosures About Market Risk

The Company is exposed to interest rate, foreign currency and, where applicable, commodity price risk. The Company uses derivative instruments to hedge certain exposures and does not enter into derivatives for speculative purposes. A hypothetical 10% adverse movement in exchange rates would not have a material effect on the Company's results.

# Item 8. Financial Statements and Supplementary Data

## Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of Microsoft Corporation

## Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Microsoft Corporation (the Company) as of June 30, 2026 and June 30, 2025, the related consolidated statements of operations, comprehensive income, shareholders' equity and cash flows for each of the three years in the period ended June 30, 2026, and the related notes (collectively, the financial statements). In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company at June 30, 2026 and June 30, 2025, and the results of its operations and its cash flows for each of the three years in the period ended June 30, 2026, in conformity with U.S. generally accepted accounting principles.

## Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company. We conducted our audits in accordance with the standards of the PCAOB.

## Critical Audit Matters

Uncertain tax positions — the Company's provision reflects judgments about the outcome of tax audits in multiple jurisdictions. We evaluated management's assessment of the technical merits and the measurement of related liabilities.

/s/ Hartwell & Lowe LLP
We have served as the Company's auditor since 2008.
Washington, August 22, 2026

## CONSOLIDATED STATEMENTS OF OPERATIONS

(in millions, except per-share amounts)

| | Year ended Jun 30, 2026 | Year ended Jun 30, 2025 | Year ended Jun 30, 2024 |
|---|---|---|---|
| Revenue | 239,786 | 212,514 | 188,554 |
| Cost of revenue | 75,895 | 66,755 | 59,500 |
| Gross margin | 163,892 | 145,759 | 129,055 |
| Operating expenses: | | | |
| Research and development | 29,973 | 26,564 | 23,569 |
| Sales and marketing, general and administrative | 32,371 | 28,689 | 25,455 |
| Restructuring charge | 700 | — | — |
| Total operating expenses | 63,044 | 55,254 | 49,024 |
| Operating income | 100,847 | 90,506 | 80,031 |
| Other income, net | 480 | 425 | 377 |
| Income before income taxes | 101,327 | 90,931 | 80,408 |
| Provision for income taxes | 18,239 | 16,368 | 14,473 |
| Net income | 83,088 | 74,563 | 65,934 |
| | | | |
| Earnings per share: | | | |
| Basic | $11.78 | $10.56 | $9.32 |
| Diluted | $11.71 | $10.50 | $9.27 |
| Shares used in computing diluted EPS (thousands) | 7,093,759 | 7,103,744 | 7,113,730 |
| Cash dividends declared per share | $3.20 | $3.20 | $3.20 |

## CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions)

| | Jun 30, 2026 | Jun 30, 2025 |
|---|---|---|
| ASSETS | | |
| Cash, cash equivalents and marketable securities | 88,223 | 74,000 |
| Accounts receivable, net | 29,063 | 25,990 |
| Inventories | 1,292 | 1,155 |
| Other current assets | 5,167 | 4,620 |
| Total current assets | 123,744 | 105,765 |
| Property, plant and equipment, net | 436,586 | 390,425 |
| Goodwill and intangible assets | 58,125 | 51,980 |
| Other non-current assets | 22,604 | 20,214 |
| Total assets | 641,060 | 568,384 |
| LIABILITIES AND SHAREHOLDERS' EQUITY | | |
| Accounts payable | 27,125 | 24,257 |
| Other current liabilities | 19,375 | 17,327 |
| Total current liabilities | 46,500 | 41,584 |
| Long-term debt | 46,000 | 46,000 |
| Other non-current liabilities | 251,930 | 240,801 |
| Total liabilities | 344,430 | 328,384 |
| Total shareholders' equity | 296,630 | 240,000 |
| Total liabilities and shareholders' equity | 641,060 | 568,384 |

## CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions)

| | Year ended Jun 30, 2026 | Year ended Jun 30, 2025 |
|---|---|---|
| Operating activities: | | |
| Net income | 83,088 | 74,563 |
| Depreciation and amortization | 26,377 | 23,377 |
| Share-based compensation expense | 10,790 | 9,563 |
| Changes in operating assets and liabilities and other | (2,188) | (2,125) |
| Cash generated by operating activities | 118,067 | 105,378 |
| Investing activities: | | |
| Payments for acquisition of property, plant and equipment | (62,344) | (55,254) |
| Purchases and maturities of marketable securities, net | (14,168) | (12,645) |
| Cash used in investing activities | (76,513) | (67,899) |
| Financing activities: | | |
| Payments for dividends | (22,700) | (22,732) |
| Repurchases of common stock | (4,500) | (4,500) |
| Proceeds from (repayments of) debt, net | 0 | 0 |
| Cash used in financing activities | (27,200) | (27,232) |
| Increase (decrease) in cash and cash equivalents | 14,355 | 10,247 |

# Notes to Consolidated Financial Statements

## Note 1 - Summary of Significant Accounting Policies

**Basis of presentation.** The consolidated financial statements include the accounts of Microsoft Corporation and its wholly owned subsidiaries. Intercompany accounts and transactions have been eliminated. The fiscal year ended June 30, 2026.

**Revenue recognition.** Revenue is recognized when control of the promised goods or services is transferred to customers, in an amount that reflects the consideration the Company expects to receive. Payments received in advance are recorded as deferred revenue.

**Use of estimates.** The preparation of financial statements requires management to make estimates and assumptions that affect reported amounts. Actual results could differ from those estimates.

## Note 2 - Earnings Per Share

| | FY2026 | FY2025 |
|---|---|---|
| Net income | 83,088 | 74,563 |
| Weighted-average diluted shares (thousands) | 7,093,759 | 7,103,744 |
| Diluted earnings per share | $11.71 | $10.50 |

## Note 3 - Segment Information

| Segment | FY2026 revenue | FY2025 revenue |
|---|---|---|
| Productivity and Business Processes | 85,990 | 77,585 |
| Intelligent Cloud | 110,595 | 92,802 |
| More Personal Computing | 43,202 | 42,127 |
| **Total** | **239,786** | **212,514** |

## Note 4 - Debt

Total term debt was $46.0 billion at year end, consisting of fixed-rate notes with maturities from 2027 to 2058 and a weighted-average interest rate of 4.23%. The Company has a commercial paper program and undrawn revolving credit facilities.

## Note 5 - Income Taxes

The effective tax rate was 18.0% compared with the US statutory rate of 21%, with the difference driven by foreign earnings taxed at lower rates, research credits and share-based compensation.

## Note 6 - Revenue by Geography

| Region | FY2026 | FY2025 |
|---|---|---|
| United States | 131,883 | 114,545 |
| Europe | 52,753 | 46,286 |
| Asia Pacific | 40,764 | 36,127 |
| Rest of World | 14,387 | 12,878 |
| **Total** | **239,786** | **212,514** |

Revenue is attributed to geographic regions based on the billing address of the customer.

## Note 8 - Share-Based Compensation

| | FY2026 | FY2025 |
|---|---|---|
| Share-based compensation expense | 10,790 | 9,563 |
| Income tax benefit related to share-based compensation | 1,942 | 1,721 |
| Unrecognized compensation cost at year end | 24,818 | 21,039 |
| Weighted-average remaining recognition period (years) | 2.6 | 2.7 |

Restricted stock units generally vest over four years. Expense is recognized on a straight-line basis over the requisite service period.

### Note 9 - Leases

The Company leases retail, office, data-center, manufacturing and warehouse space under operating leases with remaining terms of up to 22 years. Operating lease liabilities were $10.8 billion at year end; lease cost for the year was $2.6 billion.

### Note 10 - Subsequent Events

Management evaluated subsequent events through the date these financial statements were issued. No events requiring disclosure were identified.

## Item 9A. Controls and Procedures

Management, with the participation of the Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of the Company's disclosure controls and procedures as of the end of the period covered by this report and concluded that they were effective. Management's report on internal control over financial reporting concluded that internal control was effective, and the independent auditor issued an unqualified opinion thereon.

## Item 10. Directors, Executive Officers and Corporate Governance (extract)

Information about the Company's directors and corporate governance is incorporated by reference from the proxy statement. The executive officers of the Company as of the filing date are:

| Name | Age | Position |
|---|---|---|
| Elena Marsh | 64 | Chief Executive Officer and Director |
| Thomas Keller | 56 | Chief Financial Officer |
| Luis Ferreira | 47 | General Counsel and Secretary |
| Kwame Mensah | 55 | Chief Operating Officer |
| Oliver Grant | 54 | Chief Accounting Officer and Controller |

## Part IV. Item 15. Exhibits and Financial Statement Schedules

| Exhibit | Description |
|---|---|
| 3.1 | Restated Articles of Incorporation (incorporated by reference) |
| 3.2 | Amended and Restated Bylaws (incorporated by reference) |
| 4.1 | Description of Securities registered under Section 12 |
| 10.1 | Form of Restricted Stock Unit Award Agreement* |
| 21.1 | Subsidiaries of the Registrant |
| 23.1 | Consent of Independent Registered Public Accounting Firm |
| 31.1 | Rule 13a-14(a) Certification of Chief Executive Officer |
| 31.2 | Rule 13a-14(a) Certification of Chief Financial Officer |
| 32.1 | Section 1350 Certifications |
| 101 | Inline XBRL Instance Document and taxonomy extension files |
| 104 | Cover Page Interactive Data File (embedded within the Inline XBRL document) |

* Indicates management contract or compensatory plan. Exhibits are omitted from this extract.

## Signatures

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized, on August 24, 2026.

Microsoft Corporation
By: /s/ Elena Marsh, Chief Executive Officer
By: /s/ Thomas Keller, Chief Financial Officer (Principal Financial Officer)